

Choose numbers far enough apart to be 90 percent certain that the true answer lies somewhere in between.

Question 2: Give high and low estimates for the distance to the moon in miles. Choose numbers far enough apart to be 90 percent certain that the true answer lies somewhere in between.

Question 3: How easy do you think it was to predict the collapse of the housing and credit bubbles of 2008–2009?

- a. Easy
- b. Somewhat easy
- c. Somewhat difficult
- d. Difficult

Question 4: From 1926 through 2010, the compound annual return for equities was approximately 9 percent. In any given year, what returns do you expect on *your* equity investments to produce?

- a. Below 9 percent
- b. About 9 percent
- c. Above 9 percent
- d. Well above 9 percent

Certainty Overconfidence Bias Test

Question 5: How much control do you believe you have in picking investments that will outperform the market?

- a. Absolutely no control
- b. Little if any control
- c. Some control
- d. A fair amount of control

Question 6: Relative to other drivers on the road, how good a driver are you?

- a. Below average
- b. Average
- c. Above average
- d. Well above average

Question 7: Suppose you are asked to read this statement: “Capetown is the capital of South Africa.” Do you agree or disagree?

Now, check how confident are you that you are correct?

- a. 100 percent
- b. 80 percent
- c. 60 percent
- d. 40 percent
- e. 20 percent